

Barclays from first principles

What the firm actually is, how every pound of its income is earned, which parts make the money, what it has bought and sold and why, how it differs from everyone else it competes with — and what that means for the division you pick.

£29.1bn

FY2025 income

£9.1bn

FY2025 pre-tax profit

~48m

customers & clients

91,065

employees

1690

founded

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How to use this report

Read Parts 1–4 if you read nothing else. They contain the argument that everything else hangs off.

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The whole thing in six sentences

One. Barclays is a 335-year-old British bank that does two very different jobs under one roof: it is a mass-market UK retail bank with roughly 20 million everyday customers, and it is one of only a handful of non-American firms that runs a genuinely global investment bank at scale.

Two. Those two jobs are legally separated by a wall called the ring-fence, and understanding that wall explains most of Barclays' structure, its funding costs and its politics.

Three. In FY2025 it earned £29.1bn of income and £9.1bn of pre-tax profit. The Investment Bank produced 45% of the income; Barclays UK produced 30%.

Four. But the Investment Bank consumes 55% of the group's regulatory capital to do it, which is why the group's return on tangible equity (11.3% in FY2025) has historically lagged UK peers — and why the entire corporate strategy since February 2024 has been about shifting capital out of the investment bank and into the UK.

Five. That plan is working faster than promised: H1 2026 RoTE was 14.8% against a 2026 target of "greater than 12%", and management has already set a new bar of more than 14% by 2028 with over £15bn of capital returned to shareholders.

Six. What makes Barclays *Barclays* — the thing no competitor replicates — is that it is the only bank in the world that is simultaneously a top-tier UK high-street lender, a top-five US credit card issuer, and a bulge-bracket Wall Street investment bank. That combination is the entire investment case, the entire risk, and the reason the graduate roles differ so much from division to division.

PART ONE

What Barclays actually is

Start from zero. A bank is a business that rents money. Barclays rents it in five distinct ways, to five distinct kinds of customer, on two continents.

The plain-English version

Strip away the jargon and Barclays does four things, all of which are variations on the same trick — **stand between people who have money and people who need it, and charge for standing there:**

- 1. **It holds other people's money.** About £430bn of customer deposits sit with Barclays. Depositors get safety, a card, an app, and a small amount of interest — often none.
- 2. **It lends that money out.** Mortgages, credit cards, loans to businesses, loans to hedge funds. Borrowers pay meaningfully more than depositors receive. The gap is the profit.
- 3. **It stands in the middle of markets.** When a pension fund wants to buy £200m of government bonds, or a manufacturer wants to protect itself against the dollar moving, Barclays quotes a price to buy and a price to sell, and keeps the difference.
- 4. **It gets paid for advice and access.** When a company buys another company, or floats on the stock exchange, or issues bonds, it hires banks to advise and to find the buyers. Barclays takes a percentage.

Every division in this report is one of those four activities, aimed at a different customer. That is genuinely all a universal bank is.

£1,730bn total assets (H1 2026)	£29.1bn income FY2025	£9.1bn profit before tax FY2025	11.3% RoTE FY2025	14.3% CET1 capital ratio Q2 2026	~48m customers and clients
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The 335 years that explain the shape

Barclays' structure looks strange until you know how it got there. It was never designed; it accreted. Three episodes matter more than the rest, and all three are still visible in the 2026 balance sheet.

Three hundred and thirty-five years in thirteen lines

Barclays' present shape is not a design. It is the residue of these decisions.

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- 1690** **Two Quaker goldsmith-bankers set up on Lombard Street**
John Freame and Thomas Gould. Barclays still dates itself from here — 335 years.
 - 1736** **James Barclay becomes a partner**
The family name arrives and never leaves.
 - 1896** **Twenty family banks merge into Barclay & Company**
£26m of deposits. The modern joint-stock bank is born — a federation, not a founder.
 - 1966** **Barclaycard launches — Britain's first credit card**
A genuine first. Sixty years on, cards are still a core Barclays skill on both sides of the Atlantic.
 - 1986** **Big Bang: Barclays buys de Zoete & Bevan and Wedd Durlacher, forming BZW**
The first attempt to bolt an investment bank onto a clearing bank.
 - 1997** **BZW's equities and advisory arms are sold to CSFB**
The first attempt fails. What is kept — fixed income — is renamed Barclays Capital.
 - 2008** **Barclays buys Lehman Brothers' North American business out of bankruptcy**
\$1.75bn for the US franchise, HQ and data centres — and none of the toxic assets. The defining act.
 - 2016–17** **Barclays sells down Absa and exits Africa**
A deliberate retreat to two home markets: the UK and the US.
 - 2018** **Ring-fencing splits the bank into two legal entities**
Barclays Bank UK PLC (retail) and Barclays Bank PLC (international) — by law.
 - 2023** **Kensington Mortgages acquired**
Specialist UK lending capability bought in.
 - 2024** **Tesco Bank acquired; three-year plan launched**
£600m, plus a 10-year exclusive to sell financial products under the Tesco brand.
 - 2026** **Best Egg bought, American Airlines portfolio sold**
Recycling US capital out of low-return co-brand cards into higher-return personal loans.

WHY THE HISTORY MATTERS COMMERCIALY

1896 explains the UK franchise. Barclays did not grow a branch network — it federated twenty existing local banks in one go. That is why it arrived in the twentieth century with genuine national reach and a brand older than most of its customers' families.

2008 explains the investment bank. Barclays bought Lehman Brothers' North American business for \$1.75bn out of bankruptcy — \$250m for the operating business and \$1.5bn for the New York headquarters and two data centres. It acquired the people, the client relationships and the trading franchise while leaving the toxic assets behind in the estate. Nothing else in modern European banking bought so much American market share so cheaply. Every US corporate relationship Barclays has today traces back to that fortnight.

2016–17 explains the focus. Barclays sold down its controlling stake in Absa and left Africa. It was once a genuinely global bank; it chose to be a bank with two home markets instead. Everything since has been an argument about the balance between them.

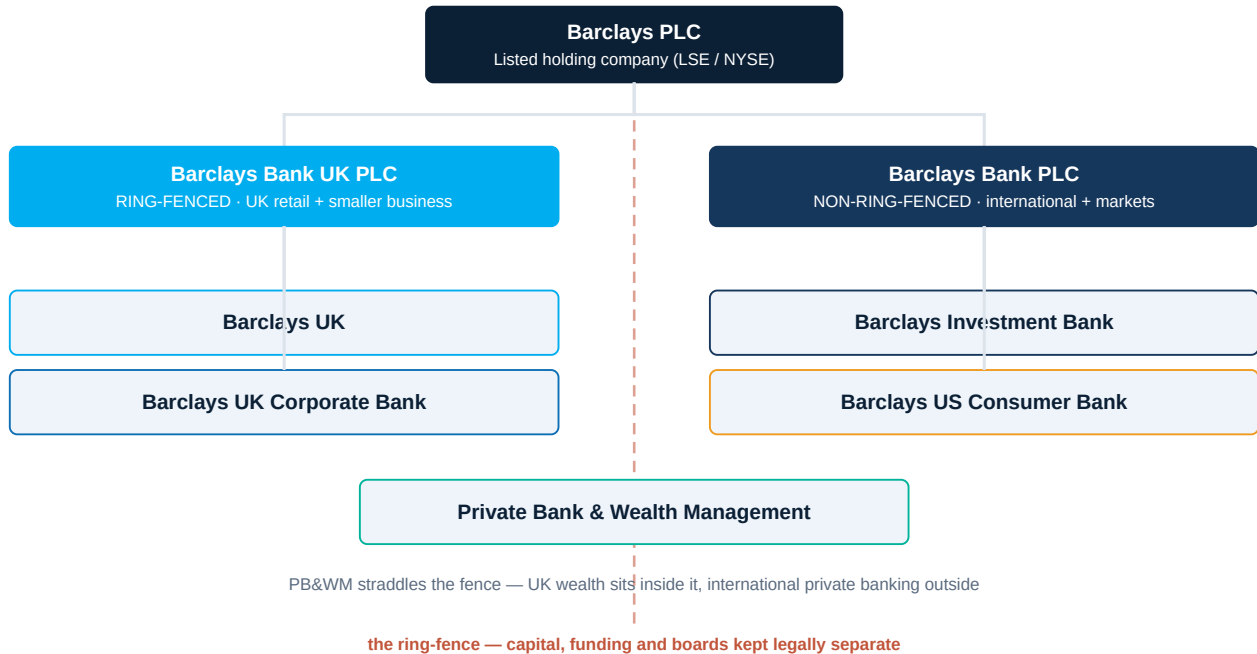
The legal structure — and why the ring-fence matters

After 2008, UK legislators decided that a bank holding ordinary people's deposits should not be able to lose them on trading positions. From 2019, any UK bank with more than £25bn of deposits has been required to place its retail

operations inside a separately capitalised, separately governed legal entity — a **ring-fenced bank**. Barclays was the first to get approval, in March 2018.

How Barclays is put together

Two banks under one holding company, five reporting divisions



This is not a diagram trick — the two entities have different boards, different capital, different credit ratings and different funding costs. Three practical consequences follow, and they come up constantly in interviews:

- **Cheap deposits cannot freely fund the trading floor.** Barclays Bank UK's £430bn-odd deposit base is largely trapped inside the fence. The Investment Bank must fund itself in wholesale markets at a higher cost. This is a structural handicap versus JPMorgan or Bank of America, who face no such rule.
- **It creates trapped capital and a permanent internal argument** about where the next pound of capital should go — the argument that the whole 2024–26 strategy is an answer to.
- **It makes the UK businesses safer and therefore cheaper to run**, which is one reason Barclays UK, UK Corporate Bank and Private Bank all post RoTEs around and above 20% while the Investment Bank historically struggled to reach 10%.

Barclays' five reporting divisions map onto this structure but do not perfectly respect it: Private Bank & Wealth Management straddles the fence, with UK wealth inside and international private banking outside.

PART TWO

How the money is actually made

Two engines. Every revenue line in every division is one of them, or a blend of the two. If you understand this page you can read any bank's results.

The two ways Barclays turns a balance sheet into revenue

Every line of every division reduces to one of these two, or a blend

ENGINE 1 — NET INTEREST INCOME

£16.0bn FY2025 · ~55% of income

Take deposits at a low rate. Lend at a higher one. Keep the spread. Barclays holds ~£430bn of customer deposits, much of it paying little or nothing.

The structural hedge: Barclays parks a rolling ~5-year ladder of swaps/gilts against deposits that pay no interest. As old low-rate tranches mature and reprice into today's higher rates, income rises mechanically — even if the Bank of England is cutting. This is the single biggest reason UK bank earnings keep climbing.

ENGINE 2 — FEES, COMMISSIONS & TRADING

£13.1bn FY2025 · ~45% of income

Charge for doing something, not for lending money.

- Trading spreads — buy at the bid, sell at the offer, thousands of times a day, for institutional clients.
- Underwriting fees — a % of every bond or share issue.
- Advisory fees — a % of M&A deal value, paid on close.
- Transaction-banking and card interchange fees.
- Management fees on private-bank assets.

Higher margin, no capital tied up in loans — but cyclical.

Engine one: net interest income, and the trick inside it

The simple version — borrow at 1%, lend at 5%, keep 4% — is only half the story, and the half that most candidates miss is the half that is currently driving UK bank profits.

A large slice of Barclays' deposits sit in current accounts paying **zero or near-zero interest**. That money has no maturity: customers could withdraw it tomorrow, but in aggregate they never do. So the bank has, in effect, a permanent pool of free funding — and it needs to earn a return on it without taking a bet on interest rates.

The solution is the **structural hedge**. Barclays invests that pool in a rolling ladder of fixed-rate instruments — typically a rolling five-year programme, so roughly one-fifth matures and is reinvested every year. When a tranche bought at 2015's near-zero rates matures in 2026 and is reinvested at today's yields, income rises **mechanically, with no new lending and no new customers**, and keeps rising even while the Bank of England is cutting rates.

THE SINGLE MOST USEFUL THING YOU CAN SAY ABOUT UK BANKS IN 2026

UK bank earnings are climbing not because lending is booming but because the structural hedge is repricing off a decade of near-zero rates. It is a slow, visible, largely contractual tailwind — which is exactly why Barclays can guide to group NII (excluding the Investment Bank and Head Office) of **over £13.7bn in 2026**, upgraded at Q2 from £13.5bn, and to Barclays UK NII of £8.1–8.3bn, with real confidence. It is also why the tailwind eventually exhausts itself — which is why management keeps pointing at fee income and efficiency instead.

Engine two: fees, commissions and trading spreads

The other ~45% of income is earned by *doing something* rather than by lending. It breaks into four mechanically different things, and the distinction matters because they behave differently in a downturn:

- **Market-making spreads.** Barclays continuously quotes two-way prices in bonds, currencies, rates and equities. It earns the bid-offer spread on enormous volume. This income *rises* when markets are volatile — which is why the Investment Bank's Global Markets business grew income 15% in 2025 while everyone else was worrying.

- **Underwriting fees.** A percentage of every bond or share issue Barclays brings to market. Depends on issuance volumes, so it is cyclical but broad.
- **Advisory fees.** A percentage of M&A deal value, usually contingent on completion. The most prestigious, most volatile, and least capital-intensive income in banking.
- **Recurring service fees.** Card interchange, transaction-banking charges, and management fees on private-bank assets. Boring, sticky, and highly prized by investors precisely because it does not disappear in a bad year.

The three numbers that judge all of it

Bank results are reported in a private language. These three terms will be used repeatedly on 14 September and are worth genuinely understanding rather than memorising.

The vocabulary you need. Barclays figures are FY2025 unless stated.

Term	What it actually means	Barclays
RoTE return on tangible equity	Profit divided by the shareholders' money genuinely at risk. The single scoreboard number in banking. Below roughly 10–12% a bank is destroying value, because that is broadly what shareholders demand for the risk.	11.3% FY2025 14.8% H1 2026 Target >12% (2026), >14% (2028)
RWAs risk weighted assets	The regulator's measure of how much risk a bank is running. A £1m mortgage might count as £150k of RWAs; £1m of derivatives exposure might count as far more. Every pound of RWA requires roughly 14p of shareholder capital to be held against it. RWAs, not cash, are the scarce resource inside a bank — this is the concept most candidates have never heard of and the one that explains Barclays' entire strategy.	£356.8bn FY2025 £364.5bn Q1 2026
CET1 ratio	Capital divided by RWAs — the bank's shock absorber. Too low and the regulator intervenes; too high and the bank is hoarding money it should return to shareholders. The buffer above the requirement is what funds buybacks and dividends.	14.3% Q2 2026 (14.0% after the £1bn buyback)
Cost:income	What share of every pound of revenue is eaten by running the bank. Lower is better.	61% FY2025 → 54% in Q2 2026 Target: high-50s 2026, low-50s 2028
Loan loss rate	Bad debts as a share of lending, in basis points. Tells you how risky the loan book is. US credit cards run far hotter than UK mortgages — which is the whole story of the US Consumer Bank's returns.	62bps H1 2026 Through-cycle guide: 50–60bps

USE THIS ON THE DAY

Almost every student at an insight day talks about revenue. Very few talk about *capital*. If you ask a Barclays professional “*how does your desk think about RWA efficiency — income per unit of risk-weighted assets — rather than just revenue?*” you will be having a different conversation from everyone else in the room, because that is the internal metric they are actually managed against.

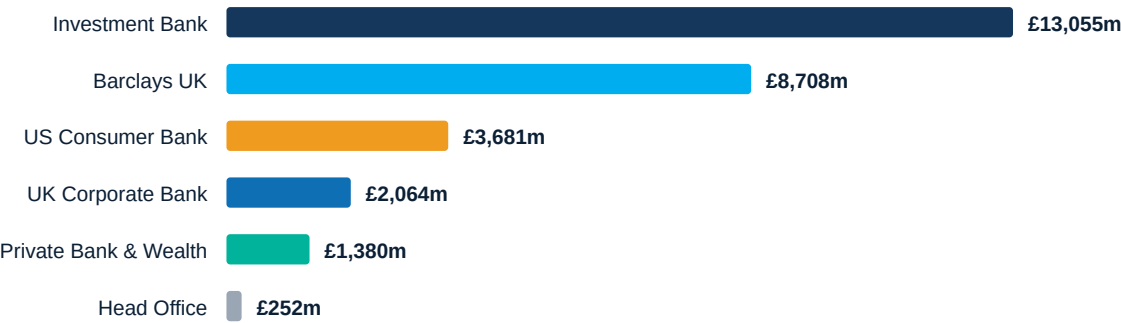
PART THREE

The five divisions

Since Q1 2024 Barclays has reported as five operating divisions plus Head Office. Before that it reported as three, and the change was itself a strategic statement: management wanted each business judged on its own returns, in public, with nowhere to hide.

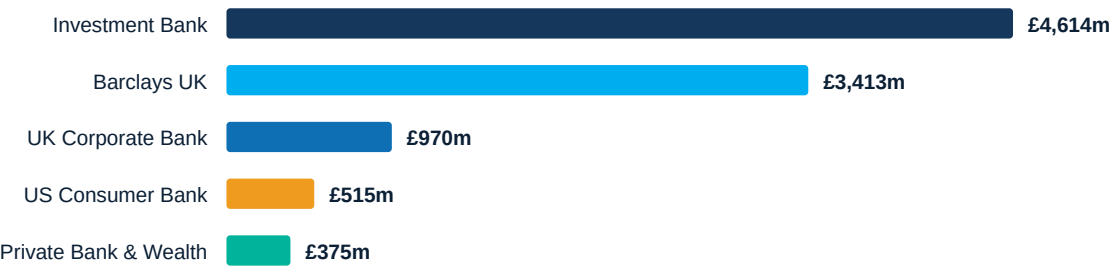
Where the £29.1bn of FY2025 income came from

Total income by division, year ended 31 December 2025



Where the profit came from

Profit before tax by division, FY2025. Head Office ran a £748m loss, which is why these sum to more than the £9,139m Group figure.



The complete divisional scorecard, FY2025 (£m unless stated). This table is the reference sheet for the rest of the report.

Division	Income	Costs	Impairment	PBT	RoTE	Cost:income	RWAs (£bn)
Barclays UK	8,708	4,746	413	3,413	20.7%	56%	85.8
UK Corporate Bank	2,064	989	37	970	18.9%	51%	26.5
Private Bank & Wealth	1,380	994	(8)	375	26.3%	73%	8.0
Investment Bank	13,055	7,927	305	4,614	10.6%	62%	196.7
US Consumer Bank	3,681	1,637	1,521	515	11.0%	45%	27.4
Head Office	252	747	11	(748)	—	—	12.3
GROUP	29,140	17,040	2,279	9,139	11.3%	61%	356.8

1 · Barclays UK

£8,708m income · RoTE 20.7%

What it is: the ring-fenced high-street bank. More than 20 million customers, £216.5bn of loans and £244.6bn of deposits — the largest single pool of cheap funding in the group and the reason the structural hedge matters so much. Income grew 5% in FY2025 with net interest income up 15% to £7.7bn, driven by the hedge and by Tesco Bank.

Sub-divisions inside it

- **Personal Banking** — current accounts, savings, the app. The customer acquisition engine; individually low-margin, collectively the foundation of everything.
- **Premier Banking** — the mass-affluent tier, and deliberately the feeder into the Private Bank. Barclays has been removing custody fees on direct investing and launching no-upfront-fee advice for Premier clients, which CEO C.S. Venkatakrishnan described as a play to “own the entirety of the customer”.
- **Mortgages** — the biggest chunk of the loan book, including **Kensington Mortgage Company**, the specialist lender bought in 2023 for customers with complex or self-employed incomes.
- **Barclaycard UK** — UK consumer credit cards. Higher-margin, higher-risk lending; the direct descendant of the 1966 launch.
- **Savings, and Tesco Bank** — the acquired Tesco book plus a ten-year exclusive licence to sell financial products under the Tesco brand.
- **Business Banking** — start-ups and smaller SMEs turning over under £6.5m. Above that threshold, clients graduate into the UK Corporate Bank.

Why the RoTE fell from 23.1% to 20.7%: not deterioration but investment — costs rose 12% as Tesco Bank was integrated and the division absorbed acquisition and restructuring spend. H1 2026 cost:income improved to 53%.

2 · Barclays UK Corporate Bank

£2,064m income · RoTE 18.9%

What it is: the bank for real British businesses — SMEs above the £6.5m turnover line up to mid-caps. Barclays banks **roughly one in four UK corporates**, which is an extraordinary market position and the least-discussed asset in the group.

What it sells: lending and working capital, cash management and payments (clearing in GBP, EUR, INR and 100+ currencies), trade and supply-chain finance via the Barclays iPortal platform, FX and rates hedging, and asset and sales finance. It was named Best Trade Finance Bank in the UK at the 2026 GTR Leaders in Trade Awards.

THE ECONOMICS THAT MAKE THIS DIVISION SPECIAL

Look at the FY2025 table: £88.7bn of customer deposits against only £30.0bn of loans. This division is a **net supplier of funding to the group**. Corporate treasurers park operating cash in accounts that pay little, because they need the payment rails and the relationship more than they need the yield. That is why income rose 16% and RoTE jumped to 18.9% — and to 20.6% in H1 2026 — on a modest £26.5bn of RWAs. Sticky deposits plus fee income plus low capital intensity is the most attractive combination in banking.

3 · Barclays Private Bank & Wealth Management

£1,380m income · RoTE 26.3%

What it is: the smallest division by income and **the highest-returning by some distance**. It serves high-net-worth and ultra-high-net-worth individuals, families, entrepreneurs and family offices — typically from around £3m of

investable assets, with tiering above that.

What it sells: discretionary and advisory portfolio management, bespoke lending against assets, trust and fiduciary services, succession and estate planning, and access to private markets and institutional products retail clients cannot reach. Management fees typically run in the region of 0.50%–1.45% of assets.

Why it earns 26.3% on capital: £72.0bn of client deposits against just £8.0bn of RWAs. It earns fees on assets rather than spread on loans, so it barely consumes capital at all. Its weakness is the mirror image: a 73% cost:income ratio, because the product *is* expensive senior people. Barclays has embedded the hiring of up to 100 new wealth managers into its 2026 cost guidance, and is explicitly trying to scale advice digitally so the economics improve as it grows.

4 · Barclays Investment Bank

£13,055m income · RoTE 10.6%

What it is: the largest division, and the most misunderstood. It is a genuinely global, top-tier franchise serving governments, corporations, pension funds, asset managers, hedge funds and financial institutions. It is also the reason the group's headline returns have lagged. Both statements are true simultaneously, and holding both in your head is the mark of someone who has actually read the accounts.

What the Investment Bank actually sells

FY2025 income, £13,055m. Bar lengths are shares of divisional income.

Global Markets

£8,654m · 66% of IB income

- FICC — rates, credit, FX, commodities, securitised
- Equities — cash, derivatives, prime/financing



£5,429m

£3,225m

Investment Banking

£4,401m · 34% of IB income

- Debt Capital Markets + leveraged finance
- Advisory (M&A)
- Equity Capital Markets
- International Corporate Bank (transaction banking)



£1,510m

£676m

£278m

£1,937m

The sub-divisions, and what each actually does

- **Global Markets — FICC (£5,429m).** Fixed income, currencies and commodities: government and corporate bonds, interest-rate and credit derivatives, FX, securitised products. Barclays is a primary dealer in the major sovereign markets. This is the direct inheritance of BZW and Barclays Capital — the historic core.
- **Global Markets — Equities (£3,225m).** Cash equities, equity derivatives, and prime brokerage/financing for hedge funds. **The strategic success story:** equities have grown from about 22% of markets income in 2023 to roughly 32%, a deliberate rebalancing towards a more stable, financing-led revenue stream. Equities income rose 45% year-on-year in Q2 2026.
- **Advisory (£676m).** M&A. The most visible business, the smallest by revenue, and the one with the greatest halo effect. Advisory fees rose 67% to £443m in H1 2026.
- **Equity Capital Markets (£278m).** IPOs, follow-on share issues, convertibles. Fees rose 65% to £249m in H1 2026 as issuance recovered.
- **Debt Capital Markets (£1,510m).** Bond issuance and leveraged finance — the largest of the three fee pools and a genuine Barclays strength, reflecting the fixed-income DNA.
- **International Corporate Bank (£1,937m).** Transaction banking for multinationals — cash management, payments, trade finance outside the UK ring-fence. Recurring, capital-light income that anchors relationships between deals.

The problem, stated honestly: £196.7bn of RWAs — 55% of the group total — for a 10.6% return in FY2025. That is why RoTE at group level was 11.3%. **The improvement, stated equally honestly:** H1 2026 RoTE reached 15.5% and Q2 hit 16.0%, with income of £7,986m in six months, achieved while holding RWAs broadly flat for a fourth consecutive year. The division did not shrink its way to returns; it grew income on a static capital base. That is precisely what the plan asked for.

5 · Barclays US Consumer Bank

£3,681m income · RoTE 11.0%

What it is: a top-tier American credit card business, run out of Barclays Bank Delaware. It is overwhelmingly a **co-brand** issuer: rather than marketing its own card, it issues cards carrying a partner's brand — Frontier Airlines, the Gap group, AARP, cruise lines and others — and shares the economics with the partner.

What it sells: co-branded, private-label and small-business credit cards; instalment loans; and, increasingly, retail deposits — online savings accounts and CDs that fund the lending. Following the May 2026 completion of the Best Egg acquisition it also originates unsecured personal loans direct to consumers.

READ THE IMPAIRMENT LINE

US Consumer Bank income of £3,681m came with **£1,521m of credit impairment** — more than two-thirds of the entire group's bad-debt charge, from a division producing under 13% of income. American card lending is structurally high-yield and high-loss. The 45% cost:income ratio is the best in the group; the returns are among the worst, because losses eat the margin. Understanding that trade-off is the key to this division.

What is being done about it: a deliberate reshaping. Barclays exited the American Airlines co-brand portfolio in Q1 2026, releasing about £5bn of RWAs and booking a gain of roughly £225m; it sold around \$1.1bn of receivables to Blackstone while retaining servicing; and it acquired Best Egg for \$800m. H1 2026 income rose to £2,119m and reported RoTE to 24.2% — though on an underlying basis, stripping out the portfolio gain, Q2 RoTE was 10.5%. Be precise about that distinction if it comes up; it is exactly the kind of nuance that separates a candidate who read the release from one who read the headline.

PART FOUR

The scorecard: what actually makes the money

You asked which parts make the most money. The honest answer requires two different rankings — because the division that earns the most income is not the division that creates the most value.

Ranking one: by income and profit

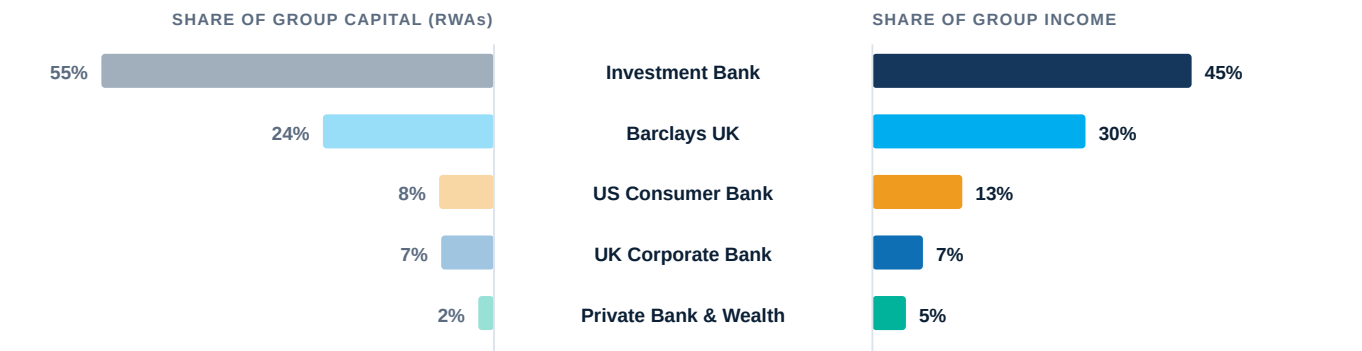
By revenue the Investment Bank wins comfortably: £13.1bn of FY2025 income, 45% of the group, and £4.6bn of pre-tax profit — 47% of the divisional total. Barclays UK is second on both counts. On this measure Barclays is an investment bank with a retail bank attached.

Ranking two: by return on the capital consumed

Now divide by what each division ties up. This inverts the table completely, and it is the ranking Barclays' own management is judged on.

The single most important chart in this report

Bars pointing left = how much of the Group's regulatory capital a division ties up. Bars pointing right = how much income it earns. Where left beats right, the division is diluting returns.



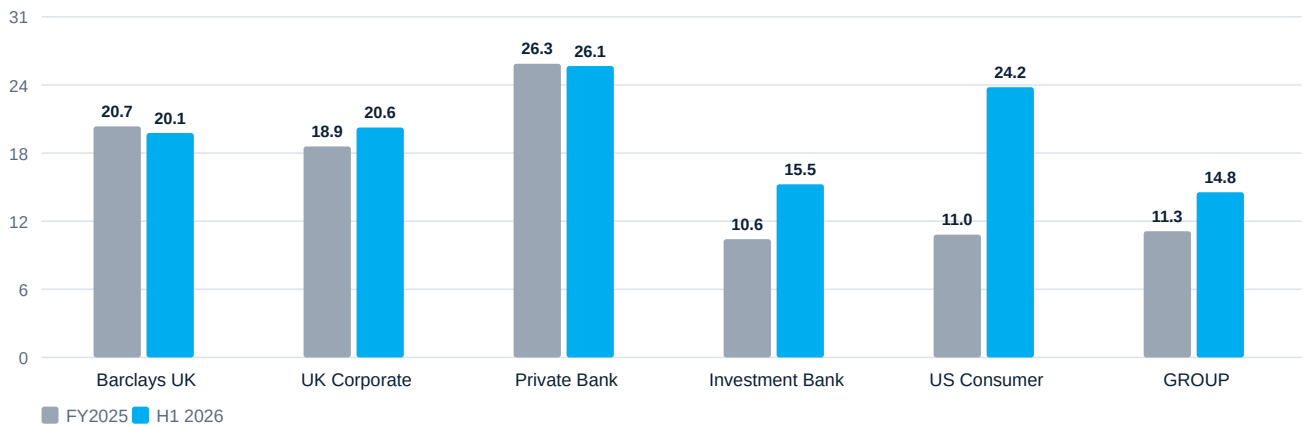
Capital efficiency, FY2025 — income earned per £1 of risk-weighted assets, and RoTE.

Division	Income (£m)	RWAs (£bn)	Income per £1 of RWA	RoTE FY2025	RoTE H1 2026
Private Bank & Wealth	1,380	8.0	17.3p	26.3%	26.1%
US Consumer Bank	3,681	27.4	13.4p	11.0%	24.2%*
Barclays UK	8,708	85.8	10.2p	20.7%	20.1%
UK Corporate Bank	2,064	26.5	7.8p	18.9%	20.6%
Investment Bank	13,055	196.7	6.6p	10.6%	15.5%

*US Consumer Bank H1 2026 RoTE is flattered by the ~£225m gain on the American Airlines portfolio sale; the underlying Q2 figure was 10.5%.

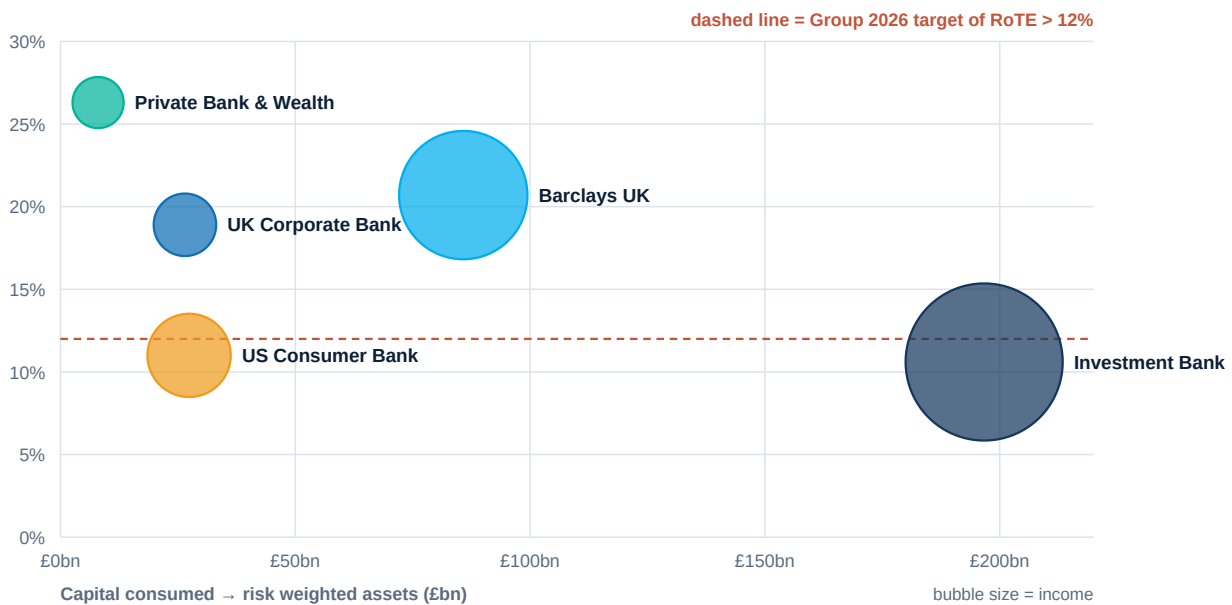
Return on tangible equity by division

RoTE is the number that matters: profit earned per pound of shareholder capital. The Group must clear 12% in 2026 and 14% by 2028.



The whole business on one chart (FY2025)

Ideal position is top-left: high return, little capital. The Investment Bank sits bottom-right — the strategic problem Barclays has spent three years fixing.



THE ANSWER TO "WHAT MAKES THE MOST MONEY?"

In absolute pounds: the Investment Bank, and it is not close — £13.1bn of income and £4.6bn of profit.

Per pound of shareholder capital: the Private Bank, at 26.3%, followed by Barclays UK at 20.7% and the UK Corporate Bank at 18.9%.

And that gap is the strategy. Everything Barclays has announced since February 2024 — the RWA reallocation, the Tesco acquisition, the American Airlines exit, the wealth-manager hiring — is an attempt to close the distance between those two rankings without giving up the scale and prestige that the first one buys.

WHERE HEAD OFFICE FITS, BECAUSE PEOPLE GET CAUGHT OUT BY THIS

Head Office is not a division; it is where group-level items that belong to no business are parked — legacy litigation and conduct provisions, treasury items, and the cost of central functions. It ran a **£748m pre-tax loss** in FY2025 on £12.3bn of RWAs. That is why the five divisions' profits sum to £9,887m but the Group reports £9,139m. If you quote divisional profits, know why they over-add.

PART FIVE

Strategy: the plan, and what replaces it

In February 2024 Barclays did something unusual for a bank: it published a specific, numbered, three-year promise and invited the market to mark it. The plan was branded "Simpler, Better, More Balanced".

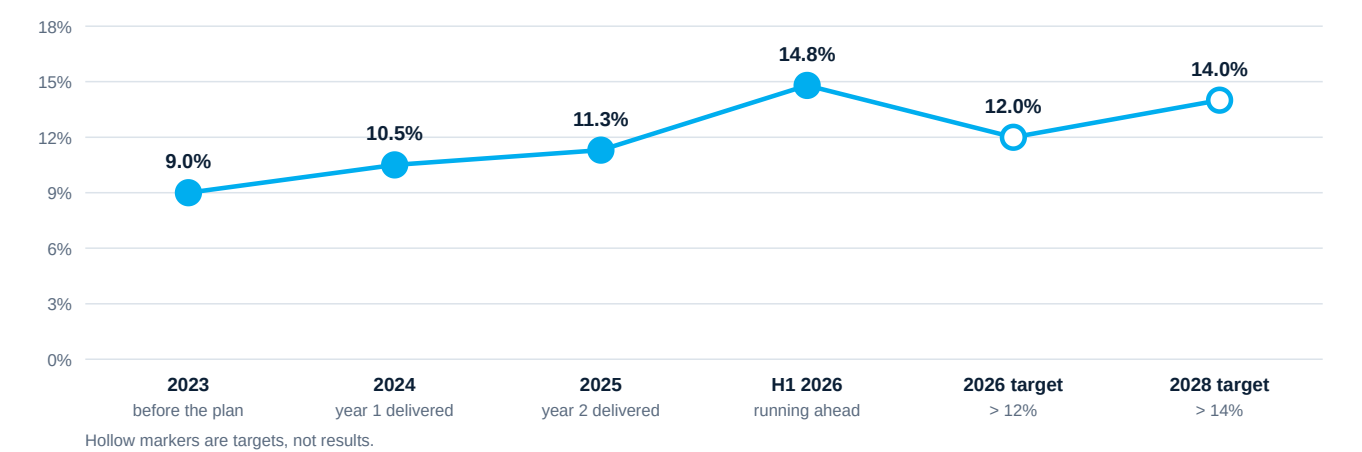
What the plan actually committed to

- **Simpler** — reorganise into five transparently reported divisions, so no business can hide inside a bigger one; exit or shrink activities that do not clear their cost of capital.
- **Better** — cut cost:income through efficiency rather than revenue growth alone, and improve returns in the two laggards, the Investment Bank and the US Consumer Bank.
- **More Balanced** — the central trade: **reduce the Investment Bank's share of group RWAs from 58% in 2023 towards about 50% by 2026**, by holding its capital flat while deploying roughly **£30bn of additional RWAs into the three UK businesses**.

Has it worked?

The turnaround, in one line

Group RoTE. The 2026 target now looks conservative; management has already pointed past it to 2028.



The promise against the delivery.

Commitment	Target	Where it stands
Group RoTE 2024	>10%	10.5% — met
Group RoTE 2026	>12%	14.8% in H1 2026 — running ahead
Capital returned 2024–26	≥£10bn	£3.0bn (2024) + £3.7bn (2025) + £2.3bn in H1 2026 alone
RWAs deployed into UK businesses	~£30bn by 2026	£20bn deployed since 2024; £18bn reached by Sept 2025
Investment Bank RWAs	Held broadly flat	Flat for a fourth consecutive year
Cost:income 2026	High 50s%	61% FY2025 → 54% in Q2 2026
2026 Group income	~£31.5bn (raised from £31bn at Q2)	£16.5bn in H1

The new plan: 2026–2028

With the first plan effectively delivered a year early, Barclays used its February 2026 results to reset the bar:

>14% Group RoTE by 2028	Low 50s% cost:income by 2028	>£15bn capital returned 2026–2028	>£2bn gross efficiency savings 2026–28	£2bn planned 2026 dividend
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The second plan has a different character from the first. The first was about *rebalancing*; the second is about *efficiency and technology*. Venkatakrisnan framed the shift on the Q2 2026 call as a move to an "all-weather return profile", with businesses "revolving around technology" and an aim to "build standardised foundations, use modernised approaches and based on harmonised systems and processes". Around £350m of gross efficiency savings were banked in H1 2026 against the >£2bn three-year goal.

USE THIS ON THE DAY

Most candidates will say "Barclays is doing well". A sharper framing: *"The 2024–26 plan was about rebalancing capital towards the UK, and you've largely delivered it. The 2026–28 plan reads much more like an efficiency and technology story. Does that change what you're looking for in the people you hire?"* That question demonstrates you have read two strategy documents, not one press release.

PART SIX

Acquisitions and disposals, explained

Not a list. For each deal: what was bought, what was actually paid, the mechanism, and — the part that matters — what problem Barclays was solving.

A USEFUL THING TO KNOW BEFORE YOU CITE A FILING

Barclays does not file a 10-K. A 10-K is the annual report of a *US domestic* issuer. Barclays is a UK company with a secondary NYSE listing, so it files a **Form 20-F** annually with the SEC, plus **Form 6-K** for interim results and material announcements — alongside its UK Annual Report and quarterly Results Announcements. The figures in this report are drawn from those. Getting the filing name right is a small thing that signals you actually went to the source.

1988–1997 · BZW: the first attempt, and the lesson

What happened: after the 1986 "Big Bang" deregulation of the London Stock Exchange, Barclays bought the stockbroker de Zoete & Bevan and the jobbing firm Wedd Durlacher, merging them with Barclays Merchant Bank to create Barclays de Zoete Wedd.

Why: Big Bang abolished the separation between brokers and market-makers and let banks own both. Every UK clearing bank raced to assemble an integrated securities firm before the Americans arrived.

What Barclays did, and why it matters: BZW never achieved the scale to compete in advisory and equities, and in 1997 Barclays sold those businesses to CSFB while **keeping the fixed-income and debt operation**, renaming it Barclays Capital. That decision — retreat from equities, double down on debt — set the firm's DNA for the next twenty-five years. It is why FICC and Debt Capital Markets are still Barclays' deepest strengths, and why the current push into equities (22% to 32% of markets income since 2023) is being described internally as a genuine strategic rebalancing rather than an incremental one.

2008 · Lehman Brothers North America: the defining act

Element	Detail
Price	\$1.75bn total — \$250m for the North American investment banking and capital markets business, ~\$1.5bn for the New York headquarters and two data centres
Structure	Purchase of assets out of Chapter 11 bankruptcy, approved by the US Bankruptcy Court for the Southern District of New York on 19 September 2008
What was excluded	The holding company's debts and the toxic real-estate portfolio — left behind in the estate
Jobs preserved	An estimated 8,000–10,000

Why Barclays did it: it had spent twenty years trying and failing to build a US investment bank organically. Lehman's collapse offered the entire American franchise — bankers, client relationships, trading infrastructure, a Manhattan headquarters — at a distressed price, with the liabilities legally stripped out.

What Barclays specifically did well: it had walked away days earlier from buying Lehman *whole*, because the UK regulator would not guarantee the trading book. When the firm entered bankruptcy, the same assets became available without the liabilities. Barclays did not buy a bank; it bought the parts of a bank it wanted, at the one moment the law

allowed the rest to be discarded. That is the transaction to describe if anyone asks you about a deal — it is the cleanest example in modern banking of structuring around a problem rather than paying to absorb it.

The cost: Barclays inherited a US-heavy, capital-hungry investment bank at exactly the moment global regulators began demanding far more capital against trading assets. Every subsequent strategic debate at Barclays — including the current one — is downstream of September 2008.

2016–2017 · The Absa sell-down: what Barclays chose *not* to be

What happened: Barclays announced in March 2016 that it would divest its 62.3% stake in Barclays Africa Group. It placed 33.7% in 2017 at R132 per share, raising approximately R37.7bn, and cut its holding to 14.9% by the end of that year, exiting fully thereafter.

Why: post-crisis regulation made majority stakes in large foreign banks expensive to hold — Barclays had to carry capital against the whole of Absa's balance sheet while owning only part of its profits. Under then-CEO Jes Staley the firm chose to become a **transatlantic bank with two home markets** rather than a diversified global one.

Why this matters to you: disposals reveal strategy more honestly than acquisitions. Barclays gave up genuine geographic diversification to concentrate capital in the UK and US. That is the choice you are being asked to buy into if you join.

2023 · Kensington Mortgage Company — buying a capability

Element	Detail
Announced / completed	24 June 2022 / 1 March 2023
Consideration	£2.4bn total — comprising a £2.2bn mortgage portfolio plus the operating company
Seller	Funds managed by Blackstone Tactical Opportunities and Sixth Street
What was acquired	A specialist lender in Maidenhead, ~600 staff, proprietary underwriting technology and data analytics

The strategic logic: Barclays was already excellent at prime mortgages — salaried borrowers, clean credit files, thin margins, fiercely competitive. Kensington lends to the customers mainstream models reject: the self-employed, people with multiple or variable incomes, complex circumstances. Those loans carry higher margins *because underwriting them is harder*.

What Barclays specifically bought: not the £2.2bn loan book — that could have been bought from anyone. It bought the **underwriting engine and the broker distribution**: the technology, data and human judgement to price complex income safely, plus a business that also services mortgages for third parties. This is buy-versus-build in its purest form. Barclays could have spent five years building a specialist underwriting capability and might still have got it wrong; instead it bought a proven one and pointed a much larger balance sheet at it.

2024 · Tesco Bank — buying distribution

Element	Detail
Announced / completed	February 2024 / November 2024
Price	~£600m (~\$775m) for ~£1bn of tangible net assets
Assets acquired	£4.2bn credit card receivables · £4.2bn gross unsecured personal loans · £6.8bn customer deposits · operating infrastructure · ~2,800 colleagues
The other half of the deal	A ten-year exclusive strategic partnership with Tesco Stores Ltd to market and distribute financial products under the Tesco brand, with Clubcard integration retained
What Tesco kept	Insurance, gift cards, travel money, ATMs
Immediate effect	~£300m pre-tax gain booked in Q4 2024

The strategic logic, and the part most people miss: the balance sheet was not the point. Barclays paid roughly £600m for about £1bn of net assets — the assets alone made the arithmetic work. **The real asset was the ten-year exclusive licence to sell financial products to the customers of Britain's largest retailer.**

Customer acquisition is the single largest cost in retail banking. Tesco has around 20 million Clubcard households and knows what they buy every week. The partnership gives Barclays a distribution channel for unsecured lending and deposits that it could not build at any price — and it does so inside the ring-fenced bank, where returns are high and capital treatment is favourable. Read against the strategy, this is the £30bn UK RWA redeployment made concrete: a deliberate move of capital and effort from the volatile investment bank towards higher-return, higher-certainty UK consumer lending.

The honest counterpoint: when the deal was announced in February 2024, some analysts questioned whether spending on acquisitions was consistent with a promise to return £10bn to shareholders. Barclays has since done both. But that tension — grow or return capital — is the live debate about Barclays today, and it resurfaced in February 2026 when the size of the new £15bn distribution pledge prompted commentary about whether the firm still has M&A ambitions.

2025–2026 · The American recycling trade

Three transactions inside eighteen months, which only make sense read together as a single manoeuvre: **free up capital from low-return card lending, redeploy it into higher-return consumer lending, and keep the fee income either way.**

Sale — American Airlines co-brand portfolio

Completed Q1/Q2 2026. Barclays exited the AAdvantage co-brand receivables, releasing approximately **£5bn of RWAs** and booking a gain of roughly **£225m**.

Why: co-brand economics with the largest airline partners are brutal — the partner captures much of the value, and the issuer holds the credit risk and the capital. Exiting freed a large block of capital in a division that needed it more elsewhere.

Sale — ~\$1.1bn of receivables to Blackstone

Barclays sold the receivables while **retaining servicing of the accounts**.

Why: this is the classic capital-light manoeuvre. The loans leave the balance sheet, the RWAs disappear, but Barclays keeps the customer relationship and the servicing fee. Risk transferred, revenue retained.

Purchase — Best Egg, \$800m

Announced October 2025, **completed 1 May 2026**, by Barclays Bank Delaware. Best Egg is a direct-to-consumer prime personal-loan platform founded in 2013 that has originated over **\$40bn of loans to more than two million customers**. It consumed roughly 16bps of Group CET1.

Why: Barclays had no scaled direct-to-consumer unsecured lending platform in the US. Personal loans are large, prime-quality, and diversify a business that was almost entirely co-brand cards. It buys origination technology and a proven risk model, not just a loan book — the same logic as Kensington, on the other side of the Atlantic.

The net effect

Barclays sequenced the deals so the American Airlines sale completed *before* the Best Egg purchase — capital out, then capital in. The combined estimated impact was around **+6bps to the Group CET1 ratio** in Q2 2026.

What it tells you: this is a management team that thinks in RWAs first and revenue second. That is a meaningful cultural fact about Barclays in 2026.

PART SEVEN

The relationship businesses — how deals actually get won

You asked specifically about the private banking and relationship side. This is the part of banking that is least visible from outside and most important to how careers work inside.

The flywheel, and why banks tolerate low-margin businesses

An investment bank does not win an M&A mandate by having the best pitchbook. It wins because it has been in the room for years, doing lower-margin, less glamorous work. The sequence looks like this, and every division in Barclays sits somewhere on it:

1. **Transaction banking gets you in the door.** The International Corporate Bank (£1,937m of income) runs a multinational's payments, cash and trade finance. Low margin, extremely sticky, and it means Barclays speaks to the treasurer every week.
2. **Lending buys you credibility.** Corporate lending on its own is a poor return for the capital consumed. Banks do it anyway, because a company remembers who lent to it when it needed money.
3. **Risk management deepens it.** FX and interest-rate hedging via Global Markets is genuinely useful, recurring, and technical enough to build trust.
4. **Debt capital markets is the first fee event.** The relationship converts into a bond mandate — the largest of Barclays' three fee pools at £1,510m.
5. **Advisory is the payoff.** When the company finally buys something, the banks that have done steps 1–4 are on the ticket. £676m of advisory income sits on top of everything beneath it.

WHY THIS MATTERS FOR CHOOSING A DIVISION

This is the strongest argument for joining Barclays' **International Corporate Bank or UK Corporate Bank** rather than assuming M&A is the only serious job. Those divisions own the relationship that everything else monetises. It is also why Barclays keeps the ICB inside the Investment Bank rather than the UK ring-fence — the flywheel only works if the transaction bankers and the dealmakers share a client list.

What this looks like in 2026: two concrete examples

Persistent Systems / Nagarro SE — the full-service play

What happened: Barclays acted as **sole mandated lead arranger, bookrunner and underwriter** on a term bridge facility of up to **€1.4bn** supporting Persistent Systems' voluntary public takeover offer for Nagarro SE, a Frankfurt-listed digital engineering firm valued at approximately €1.27bn enterprise value. The offer was announced on 26 June 2026. It is one of the largest overseas acquisitions ever attempted by an Indian IT services company.

What Barclays specifically did: "sole" is the word that matters. Barclays underwrote the entire bridge alone rather than syndicating the risk to a club of banks. That means it committed its own balance sheet to guarantee the buyer could pay, before any permanent financing existed. For a cross-border deal — an Indian acquirer, a German target, a euro facility — that requires the bank to be simultaneously credible in three jurisdictions. **This is the transatlantic-plus-emerging-markets franchise being used as a competitive weapon: Barclays wins mandates a pure-advisory boutique cannot touch, because boutiques have no balance sheet to underwrite with.**

Financial institutions M&A — a genuine number-one position

What happened: Barclays ranked **first by deal value among financial services M&A advisers in H1 2026**, on deals worth \$37.3bn. Half of the deals it advised on were billion-dollar-plus, including two mega-deals above \$10bn. It also topped the Q1 2026 financial-services adviser rankings, and led power-sector M&A alongside Goldman Sachs in H1 2026.

Why this is more interesting than it sounds: Barclays is a Tier 2 bank in overall global league tables — below JPMorgan, Goldman and Morgan Stanley. But league tables are won *sector by sector*. Barclays is not trying to beat Goldman everywhere; it is trying to be unambiguously top-three in the sectors where it has genuine depth — financial institutions, power and utilities, industrials, technology, and leveraged finance. If you want to work on the biggest deals, the group you join matters more than the bank you join.

The Private Bank's version of the same flywheel

Private banking runs an identical logic on a personal scale, and Barclays has a structural advantage almost no pure private bank possesses:

- **The referral pipeline is internal.** Barclays UK's Premier tier feeds mass-affluent clients upward into the Private Bank as their wealth grows. Removing custody fees on direct investing and offering no-upfront-fee advice to Premier clients is explicitly designed to capture people *before* a competitor does — Venkatakrishnan's ambition to “own the entirety of the customer”.
- **The entrepreneur handoff is the crown jewel.** When a founder banked by the UK Corporate Bank sells their company — often advised by Barclays' own investment bank — a large sum of cash appears. The Private Bank is in the room at the moment of liquidity. No standalone wealth manager can engineer that.
- **The lending is different.** Private-bank lending is secured against portfolios, property and sometimes unlisted holdings, structured individually. It carries almost no credit loss — the division ran a small impairment *release* of £8m in FY2025 — which is why 26.3% RoTE is achievable on £8.0bn of RWAs.

The trade-off is honest and worth naming: a 73% cost:income ratio, and £1,380m of income that took £994m of costs to produce. Growth here means hiring expensive people — up to 100 new wealth managers are embedded in 2026 cost guidance — and betting that digital delivery lets the advice scale faster than the headcount.

USE THIS ON THE DAY

The speed-networking session will have people from all five divisions. A question that works on any of them, and shows you understand the flywheel: *“Where does your business sit in the client relationship — are you the first product a client buys, or the last? And who do you rely on internally to bring you the introduction?”* It invites a genuine answer about how Barclays works internally, which is exactly what you cannot get from a website.

PART EIGHT

Competitors — and what makes Barclays *Barclays*

Barclays has no single competitor. It has a different competitive set in every division, and that is precisely the point.

Who Barclays competes with, division by division

The competitive map. Note that almost no firm appears in every row — that is the differentiation, stated as a table.

Division	Direct competitors	Barclays' position
Barclays UK	Lloyds Banking Group, NatWest, HSBC UK, Santander UK, Nationwide, plus digital challengers Monzo, Starling and Revolut	A top-four incumbent, but not the leader. Lloyds is larger in UK retail; Nationwide is a mutual with a structurally lower cost of capital.
UK Corporate Bank	Lloyds, NatWest, HSBC UK, Santander Corporate	Genuinely strong — relationships with roughly one in four UK corporates, and named UK Best Trade Finance Bank in 2026.
Private Bank & Wealth	UBS, Julius Baer, Coutts (NatWest), HSBC Global Private Banking, JPMorgan Private Bank, Rathbones, St James's Place	Sub-scale versus UBS globally, but with an internal referral engine from Premier and the Corporate Bank that pure-play rivals lack.
Investment Bank	JPMorgan, Goldman Sachs, Morgan Stanley, Bank of America, Citi; in Europe, Deutsche Bank, UBS, BNP Paribas, SocGen; in advisory, Evercore, Lazard, Centerview, Houlihan Lokey, Rothschild	The only UK-headquartered bulge bracket. Tier 2 globally; top-three in selected sectors and in leveraged finance and DCM.
US Consumer Bank	Synchrony, Bread Financial, Capital One, Citi Retail Services, American Express, Chase co-brand	A significant co-brand issuer, but sub-scale versus Synchrony and Capital One — hence the reshaping.

Barclays vs its UK-listed peers — return on tangible equity, FY2025

Lloyds does not report a directly comparable statutory RoTE on the same basis and is excluded; it guides to >16% for 2026. Barclays was the laggard on FY2025 — and is closing the gap fast.



How Barclays compares on the numbers — FY2025 results, reported currency.

Bank	Income / revenue	Pre-tax profit	RoTE / ROTCE	Shape of the business
Barclays	£29.1bn	£9.1bn	11.3%	UK retail + global investment bank + US cards
NatWest	£16.4bn	£7.7bn	19.2%	Almost entirely UK, retail and commercial
Lloyds	—	£6.7bn	guides >16% for 2026	Purely UK; no investment bank at all
HSBC	—	\$29.9bn	13.3%	Asia-weighted global; huge transaction bank
Standard Chartered	\$20.9bn	\$7.9bn*	14.7%	Emerging markets, trade and corporates
JPMorgan	—	net income \$57.0bn	ROE 17%	Everything, everywhere, at greater scale
Goldman Sachs	\$58.3bn	IB fees \$9.34bn	—	Institutional; thin consumer presence
Morgan Stanley	\$70.6bn	net income \$16.9bn	ROTCE 21.6%	Investment bank + very large wealth manager

*Standard Chartered figure is underlying profit before tax. Metrics are not perfectly comparable across jurisdictions and reporting bases; use them for shape, not for precision. Barclays' H1 2026 RoTE of 14.8% closes most of the gap to NatWest and Standard Chartered.

So what actually makes Barclays different?

Three candidate answers get given at insight days. Two of them are wrong.

Wrong answer one: "it's the oldest." True but commercially irrelevant. Age is heritage, not advantage.

Wrong answer two: "it's a universal bank." So are HSBC, JPMorgan, Citi, BNP Paribas and Santander. Universality is a category, not a differentiator.

The real answer: Barclays occupies a position no other firm on earth occupies. It is the *only* institution that is simultaneously:

- a top-tier **UK high-street bank** with 20m+ retail customers and a ring-fenced deposit base;
- a significant **US consumer credit business** with its own American banking licence; and
- a **bulge-bracket investment bank** with genuine market-making scale on Wall Street.

Test it against every rival. Lloyds and NatWest have the UK retail bank but no investment bank and no US business. Goldman Sachs and Morgan Stanley have the Wall Street franchise but nothing resembling a British high street. HSBC and Standard Chartered are weighted to Asia and emerging markets, not the US. Deutsche Bank has the European investment bank but abandoned equities in 2019 and has no meaningful retail presence outside Germany. JPMorgan and Bank of America have the US consumer and the investment bank — but not a UK ring-fenced retail bank. **The overlap set is empty. Barclays is a category of one.**

WHY THE COMBINATION IS GENUINELY VALUABLE

Counter-cyclicity. The two halves fail at different times. Investment banking income collapses when markets freeze; retail deposits and structural-hedge income are at their most valuable precisely then. In 2025, Global Markets grew income 15% *because* markets were volatile, while Barclays UK grew NII 15% *because* rates had risen. Two engines, opposite sensitivities, one income statement. Management's language for this is an "all-weather return profile", and the deliberate diversification of income is exactly what they credit for the reduced seasonality in results.

Sterling and the City. Barclays is the natural home bank for a British company that also needs a New York bond market. It is a primary dealer in gilts and US Treasuries. That is a small club.

AND WHY THE COMBINATION IS ALSO THE RISK — STATE THIS, IT SHOWS JUDGEMENT

The same structure that provides diversification also creates the drag. The ring-fence stops cheap UK deposits funding the trading floor. The investment bank consumes 55% of group capital for a return that only cleared 10% in FY2025. And investors have historically applied a conglomerate discount — Barclays trades on a 2026 P/E under 10 and around or below tangible book value, well below US peers, despite an average analyst target of 575p and a "Moderate Buy" consensus across 17 analysts.

The bear case is that Barclays is subscale in every single business it competes in: smaller than Lloyds in UK retail, smaller than Synchrony in US cards, smaller than UBS in wealth, smaller than JPMorgan in everything. The bull case is that the *portfolio* is worth more than the parts because the parts fail at different times — and the H1 2026 RoTE of 14.8%, up from 9% in 2023, is the strongest evidence yet for the bulls.

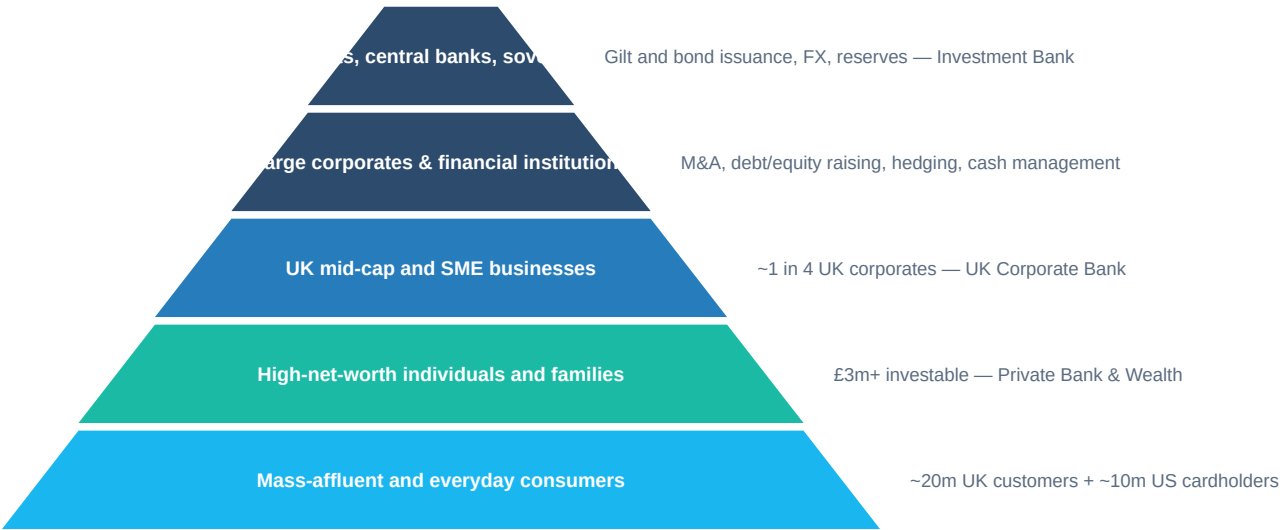
PART NINE

Clients: who they are, and why these ones

A bank's client list is a strategy document. Barclays serves roughly 48 million customers across five tiers, and each tier is targeted for a specific economic reason.

Who Barclays sells to

Roughly 48 million customers, from a sovereign treasury to a current account.



Client segments, what they are sold, and — the important column — why Barclays wants them.

Client type	Served by	What they buy	Why Barclays targets them
Everyday UK consumers ~20m	Barclays UK	Current accounts, savings, mortgages, Barclaycard, personal loans	Deposits. Individually unprofitable, collectively the cheapest funding in the group and the raw material for the structural hedge. Also the top of the wealth funnel.
Mass-affluent / Premier	Barclays UK → PB&WM	Premier banking, investments, advice, larger mortgages	The bridge. Higher balances, more products each, and the pool from which Private Bank clients are recruited. Hence free custody and no-upfront-fee advice — capture them early.
US cardholders via partner brands	US Consumer Bank	Co-brand and private-label cards, instalment loans, savings and CDs, personal loans (Best Egg)	Yield. US card lending earns far more than UK mortgages. Costs are low (45% cost:income) because the partner does the marketing. The price is £1,521m of impairment.
UK SMEs and mid-caps ~1 in 4 UK corporates	UK Corporate Bank	Lending, cash management, payments, trade finance, FX and rate hedging, asset finance	Sticky cheap deposits plus fees. £88.7bn of deposits against £30.0bn of loans. Switching a corporate's payment infrastructure is painful, so relationships last decades.
High-net-worth individuals and families ~£3m+ investable	Private Bank & Wealth	Discretionary and advisory portfolios, structured lending, trusts, succession planning, private markets access	The best returns in the group. Fee income on assets, negligible credit losses, and only £8.0bn of RWAs. Often the same people who own the corporate-bank clients.
Large corporates and multinationals	Investment Bank (ICB)	Global cash management, trade finance, corporate lending, hedging	The door-opener. Low margin, high stickiness, weekly contact with the treasurer — the foundation the fee businesses are built on.
Financial institutions and asset managers	Investment Bank	Market-making across FICC and equities, prime brokerage, financing, research, execution	Volume. These clients trade constantly. Spread income scales with flow, and prime financing is a stable, balance-sheet-backed annuity.
Governments, central banks, sovereign funds	Investment Bank	Sovereign bond issuance and distribution, FX, reserve management	Franchise and information. Primary-dealer status is a licence to see the flow of the entire market — commercially valuable and reputationally decisive.
Private equity sponsors	Investment Bank	Leveraged finance, acquisition financing, M&A advisory, IPO exits	Repeat business. A sponsor does several deals a year, every year. Barclays' leveraged-finance strength makes it a natural counterparty — as the €1.4bn Persistent/Nagarro underwrite shows.

The output: what Barclays literally sells

You asked what the firm actually produces. Banks make no physical thing — the product is a contract, a price, or a piece of judgement. Here is the full catalogue.

Deposit products

Current accounts, instant-access and fixed-term savings, ISAs, US online savings accounts and CDs, corporate operating accounts, private-bank cash management.

What is really sold: safety, liquidity and access — in exchange for the right to use the money. This is the raw material for everything else.

Credit products

Residential and buy-to-let mortgages, specialist mortgages (Kensington), personal loans, UK and US credit cards, overdrafts, SME and corporate lending, leveraged loans, structured lending against portfolios, trade and supply-chain finance.

What is really sold: a price for risk. The product is the underwriting judgement — which is why Barclays bought Kensington and Best Egg for their models, not their books.

Liquidity and prices

Two-way quotes in government and corporate bonds, interest-rate and credit derivatives, FX, commodities, cash equities and equity derivatives; prime brokerage and securities financing for hedge funds; execution and clearing.

What is really sold: immediacy. A client who wants to trade £200m of bonds right now pays a spread for the certainty of doing it now, at a known price.

Advice and access to capital

M&A advisory, takeover defence, IPOs and follow-on equity issues, convertibles, investment-grade and high-yield bond issuance, leveraged buyout financing, ratings advisory, underwriting commitments and bridge facilities.

What is really sold: judgement plus distribution — and, critically, *balance sheet*. The ability to underwrite a €1.4bn bridge alone is a product a boutique cannot offer.

Payments and transaction banking

Domestic and cross-border payments and clearing in GBP, EUR, INR and 100+ currencies; merchant acquiring; liquidity and cash-pooling structures; the Barclays iPortal trade and working-capital platform; escrow and custody.

What is really sold: plumbing. Unglamorous, deeply embedded, and almost never switched — which is why it earns fee income year after year.

Investment management and planning

Discretionary and advisory portfolio management, direct investing platforms, access to private markets and institutional funds, trusts and fiduciary services, succession and estate planning, philanthropy advice, and research and market outlooks.

What is really sold: a relationship plus a framework for decisions. Priced as a percentage of assets, roughly 0.50%–1.45%.

Risk transfer

Interest-rate swaps, FX forwards and options, commodity hedges, credit protection, structured solutions for corporates and institutions.

What is really sold: certainty. A manufacturer buying an FX forward is not speculating — it is converting an unknowable future cost into a known one.

Brand-partnered distribution

Co-brand and private-label credit card programmes for Frontier Airlines, the Gap group, AARP, cruise lines and others; the ten-year exclusive to sell financial products under the Tesco brand in the UK.

What is really sold: Barclays' balance sheet and risk expertise, wrapped in someone else's customer relationship. The partner supplies the customers; Barclays supplies the capital and the underwriting; both share the economics.

PART ELEVEN

What the market actually thinks

Four different audiences, four different verdicts: management, analysts, the press, and the people who work there. They do not agree, and the disagreement is the interesting part.

What management says — the Q2 2026 earnings call

CEO C.S. Venkatakrishnan's framing on 28 July 2026 was consistent and worth quoting accurately, because repeating a CEO's own language back is disproportionately effective:

On the destination: an “all-weather return profile” — the goal being income that does not swing with the cycle.

C.S. Venkatakrishnan, Q2 2026 results call

On how they get there: “Our businesses are now revolving around technology, and our aim is to build standardised foundations, use modernised approaches and based on harmonised systems and processes.”

Q2 2026 results call

On the retail strategy behind free custody and fee-free Premier advice: a play to “own the entirety of the customer”.

Q2 2026 results call

The substantive claim underneath the language: **equities now account for roughly 32% of markets income versus 22% in 2023**, which management credits for a stronger stable income base and less seasonal variation. That is a specific, checkable claim about diversification — not a slogan.

What analysts say — and why the shares fell on a beat

The Q2 2026 result is a genuinely instructive case study, and mentioning it demonstrates you read past the headline. Barclays **beat on revenue, raised guidance to ~£31.5bn, posted 16.1% quarterly RoTE and announced a £1bn buyback — and the shares fell**. Analysts looked past the headline profit at four things:

- **Costs came in about 3% higher than expected**, driven by the Investment Bank — plus roughly £300m of flagged structural cost actions and £100–150m from a change to the bonus mix in H2. Those could absorb much of the benefit of the upgraded income guidance.
- **Net interest income excluding the IB and Head Office missed consensus by about 2%**, with shortfalls at Barclays UK and the US Consumer Bank — the two divisions the strategy is supposed to be leaning on.
- **FICC grew just 1% year-on-year**, trailing US rivals. The historic core of the franchise was the weakest line in an otherwise strong quarter.
- **Earnings quality** — how much of the revenue strength was reaching shareholders, given the portfolio-sale gain flattering the US Consumer Bank.

The broader sell-side position remains constructive: **17 analysts, a consensus "Moderate Buy", an average 12-month target of 575p**, ranging from 510p at Citi to 655p at Goldman Sachs. Consensus 2026 EPS of around 53p puts Barclays on a P/E under 10 — cheap against US peers, and the valuation argument rests on whether that discount is deserved.

Not everyone agrees: at least one analyst downgraded to Hold after Q2 on “unexpected costs and revenue headwinds”. Being able to name both sides is worth more than enthusiasm.

What the press says

Financial press coverage in 2026 has been notably split between the numbers (good) and the investment bank's management (contested).

- **The leadership reset.** In August 2026 Barclays named Adeel Khan — the existing global markets head — and Mike Joo, hired from Bank of America, as co-CEOs of the Investment Bank from February 2027, with Khan running markets from London and Joo running investment banking from New York. The FT reported this as a retreat from one of Venkatakrishnan's most prominent management experiments: a four-person leadership team installed less than three years earlier, criticised internally for spreading decision-making too widely and weakening accountability, and marked by tension between co-heads Cathal Deasy and Taylor Wright over strategy.
- **The banker attrition problem.** Reporting notes that between 2023 and 2024 Barclays lost around **25% of its M&A managing directors, and nearly 40% in the US**. Investment banking fees have largely stagnated against 2018 levels — though 2026 started far more strongly, with advisory fees up 67% to £443m and ECM up 65% to £249m in H1.
- **The share price.** Barclays was one of the standout FTSE 100 stories of 2025, rising about **65%** — behind Lloyds (+75.8%) but ahead of NatWest (+56%).
- **Capital returns and speculation.** Bloomberg framed the February 2026 >£15bn distribution pledge as raising the prospect of M&A — i.e. the market reading a large payout commitment as a signal about how Barclays intends to use, or not use, its capital.

What practitioners say — industry forums

A NOTE ON THIS SECTION

Reddit blocks automated access, so nothing here is drawn from Reddit. The forum material below comes from Wall Street Oasis threads and from employer-review aggregators (Glassdoor, Indeed, Breakroom). Treat all of it as anonymous, self-selected and unverifiable — useful for the *texture* of opinion, not for facts. Do not repeat it as though it were established.

The Wall Street Oasis consensus on Barclays is reasonably consistent across threads:

- **Positioning:** a solid bulge bracket, generally placed in Tier 2 — below JPMorgan, Goldman and Morgan Stanley, but a real BB rather than a middle-market firm. A recurring thread title is literally "Is Barclays underrated?"
- **Culture:** repeatedly described as good relative to peer bulge brackets, and "collaborative"; posters note Barclays has been competitive on base pay.
- **Group matters more than the bank.** This is the strongest and most consistent theme. Power, FIG, Industrials, Real Estate, and LevFin/DCM in EMEA are the groups posters single out; exits are described as "as good as the rest of the bulge bracket" from strong groups and materially weaker from others.
- **Deal flow:** viewed as having taken share from European competitors that scaled back their investment banks.

On employee sentiment more broadly, Barclays holds roughly **4 out of 5 on Glassdoor across more than 22,000 reviews, with about 78% saying they would recommend it**, and has been voted onto Glassdoor's Best Places to Work lists including in Tech. The recurring criticisms are the ones you would expect at any large bank: pressure on targets, limited flexibility in some frontline roles, and a gap between management vision and frontline experience.

HOW TO USE THIS WITHOUT SOUNDING LIKE YOU READ A FORUM

Never cite Wall Street Oasis at an insight day. But the *insight* underneath it is genuinely valuable and entirely sayable: *“My sense is that at a bank of Barclays' size the group you sit in shapes the experience more than the firm does. How different does the day-to-day feel between, say, Global Markets and the Corporate Bank?”* That is the forum consensus, laundered into a good question.

Navigating 2026: the four live issues

What Barclays is dealing with right now. Knowing these makes you current rather than well-briefed on last year.

1 · The rate cycle turning — and why earnings keep rising anyway

The intuitive worry is that falling central bank rates crush bank margins. Barclays' answer is the structural hedge: the rolling reinvestment programme keeps pushing income up as pre-2020 tranches mature into higher yields. Hence the confidence to *raise* 2026 NII guidance (ex-IB and Head Office) to above £13.7bn at Q2, and to guide Barclays UK NII to £8.1–8.3bn. The counter-risk is real though: NII excluding the IB missed consensus by 2% in Q2, with Barclays UK and the US Consumer Bank both softer than expected. The tailwind is powerful but it is not infinite, and management is visibly pivoting the story towards fees and efficiency before it runs out.

2 · Motor finance redress — the UK's live conduct issue

Following the Supreme Court's judgment in *Johnson v FirstRand* and related cases, the FCA confirmed on 30 March 2026 an industry-wide compensation scheme for motor finance customers affected by unfair commission arrangements between 6 April 2007 and 1 November 2024. The FCA estimates the total industry bill at around **£9.1bn** — £7.5bn of redress plus £1.6bn of other costs — with an average payment around £830 per agreement and the majority of claims settled by end-2027.

WHY THIS IS A COMPETITIVE ADVANTAGE FOR BARCLAYS, NOT JUST A COST

Barclays' provision stands at around **£430m**, having been raised by £105m in Q1 2026 from £325m, and originally £90m at end-2024 across Barclays and its Clydesdale Financial Services subsidiary. Compare that with **Lloyds at £1.95bn**. Barclays simply never built a large motor finance book. In an industry-wide conduct event, the bank with the smallest exposure gains relative ground. If someone asks what you think of UK banking risk right now, this is a precise, current, differentiated answer.

3 · Reshaping the Investment Bank's leadership and its US franchise

The Khan/Joo appointment from February 2027 consolidates a four-person leadership structure into two, explicitly to sharpen accountability. It follows a period in which Barclays lost around a quarter of its M&A managing directors — nearly 40% in the US — and in which fees stagnated against 2018 levels. The rebuild is showing early results: advisory fees up 67% and ECM up 65% in H1 2026, Q2 investment banking fees up 30% in dollar terms, and a number-one ranking by value in financial services M&A for H1 2026. But FICC growing just 1% while US rivals did better is a genuine open question about whether the historic core is keeping pace.

4 · Capital returns versus growth

Barclays has committed to more than £15bn of distributions between 2026 and 2028, including a £2bn dividend for 2026, and returned £2.3bn in H1 2026 alone (£0.8bn dividend, £1.5bn buybacks). Buybacks have been running steadily through 2026 — over 36 million shares repurchased and cancelled by August. With the stock around or below tangible book value, buying back shares is mathematically attractive: every share cancelled below book value increases book value per remaining share.

The strategic tension is genuine and worth understanding: **every pound returned to shareholders is a pound not invested in growth**. Barclays has been doing both — Tesco, Kensington and Best Egg were all bought during a period

of heavy distributions — but the market reads a large payout pledge as a statement of intent about future M&A appetite.

PART THIRTEEN

Choosing a division — and what to say on 14 September

The Insight Day flags four areas: Investment Banking, Global Markets, Private Banking & Wealth Management, and Corporate Banking. Here is what each is actually like, and the honest case for and against.

Investment Banking (Advisory / ECM / DCM)

The work: financial modelling, valuation, pitch materials, due diligence, running processes. In DCM and leveraged finance, structuring and pricing debt.

The economics you should know: £2,464m of banking fees in FY2025 — Advisory £676m, DCM £1,510m, ECM £278m. Note that **DCM is more than twice Advisory**. If you want the biggest fee pool at Barclays specifically, it is debt, not M&A.

Case for: steepest learning curve in finance; strongest exit options; Barclays is #1 by value in financial-services M&A in H1 2026 and rebuilding hard.

Case against: the hours are real, and Barclays' fee franchise is still recovering from heavy MD attrition. Group choice matters enormously.

Global Markets (FICC / Equities)

The work: pricing risk in real time, market-making, structuring, sales coverage of institutional clients. Decisions in seconds, not weeks.

The economics: £8,654m in FY2025 — **the single largest revenue pool in the entire group**. FICC £5,429m, Equities £3,225m. Equities is the growth story: from 22% to ~32% of markets income since 2023, up 45% year-on-year in Q2 2026.

Case for: this is Barclays' deepest institutional strength, the direct inheritance of Barclays Capital, and where the firm genuinely competes with the Americans. It also performs well when markets are difficult, which is a good hedge on your own career.

Case against: FICC grew just 1% year-on-year in Q2 2026, trailing US peers. The core is under competitive pressure even as equities thrives.

Private Banking & Wealth Management

The work: long-horizon relationships with wealthy individuals and families; portfolio construction, structured lending, succession and trust planning.

The economics: £1,380m of income, 26.3% RoTE — **the highest-returning division in the group** — on just £8.0bn of RWAs. Up to 100 new wealth managers are funded in 2026 cost guidance, so it is actively hiring.

Case for: the smallest division but the best returns, with real strategic priority and an internal referral engine from Premier and the Corporate Bank that standalone wealth managers cannot match.

Case against: 73% cost:income — the division is expensive to run, and progress is measured in years of relationship-building, not quarters.

Corporate Banking (UK and International)

The work: covering companies end-to-end — lending, cash management, payments, trade finance, hedging. Understanding how businesses actually work.

The economics: UK Corporate Bank £2,064m of income, RoTE 18.9% rising to 20.6% in H1 2026, relationships with ~1 in 4 UK corporates. International Corporate Bank adds £1,937m inside the Investment Bank.

Case for: the most underrated division. It funds the group (£88.7bn deposits vs £30.0bn loans), it opens the doors the Investment Bank walks through, and it delivers near-20% returns on modest capital. Better hours than the IB with genuine client ownership.

Case against: lower external prestige and narrower exit options into private equity. If your goal is a buy-side seat in three years, this is the harder route.

How to choose honestly

Map your answer to what you actually want, not to what sounds most impressive:

- **Want to be judged on daily decisions under pressure?** Global Markets.
- **Want depth on a handful of transactions over months?** Investment Banking.

- **Want to own relationships and see the whole of a business?** Corporate Banking.
- **Want long-horizon relationships and the best returns in the firm?** Private Bank.

The applications themselves open in early September 2026 for 2027 entry, with deadlines between 30 November and 31 January depending on division — technology typically closing mid-November, Markets and Banking often open into late January. Programmes include Spring Weeks, nine-week summer internships, and the two-year rotational graduate scheme. Assume single-digit acceptance rates and apply early; several divisions assess on a rolling basis.

Ten numbers worth memorising

Fact	Figure
FY2025 Group income and pre-tax profit	£29.1bn and £9.1bn
FY2025 Group RoTE, and H1 2026	11.3% → 14.8%
The two targets	>12% RoTE in 2026, >14% in 2028
Investment Bank share of income vs share of capital	45% of income, 55% of RWAs
Highest-returning division	Private Bank & Wealth, 26.3%
Largest single revenue pool	Global Markets, £8.65bn
The UK reallocation	~£30bn of RWAs into UK businesses by 2026; £20bn done
Capital returns pledged 2026–28	>£15bn
The Tesco deal	£600m, plus a 10-year exclusive brand partnership
Founded	1690, Lombard Street

Questions worth asking in the speed-networking session

Avoid anything answerable from the website. These are drawn from the analysis in this report and each one signals a specific piece of understanding:

1. “The three UK businesses all cleared 20% RoTE in H1 while the Investment Bank reached 16%. Does that change how capital gets argued over internally?” — *shows you understand RWA allocation.*
2. “Equities has gone from about 22% to 32% of markets income since 2023. What had to change operationally to make that happen?” — *shows you listened to the earnings call.*
3. “The Tesco partnership is a ten-year exclusive. How is a distribution partnership like that actually run day-to-day?” — *shows you read past the purchase price.*
4. “Ring-fencing means the investment bank can't draw on UK retail deposits. How much does that funding difference shape what your desk can compete for?” — *very few students know this.*
5. “The 2026–28 plan reads much more like an efficiency and technology story than the rebalancing story of 2024–26. Is that visible in your team yet?” — *shows you read both plans.*
6. “Where does your business sit in the client relationship — first product bought, or last?” — *shows you understand the flywheel.*

THE ONE-PARAGRAPH ANSWER TO "WHY BARCLAYS?"

"Barclays is the only bank that is at once a UK high-street lender with twenty million customers, a top-tier US card issuer, and a bulge-bracket investment bank — no other firm holds all three. That combination is why income held up through 2025 when markets were volatile and rates were moving in opposite directions for the two halves of the business. It's also why the last three years have been so interesting: the plan was explicitly to move capital out of the investment bank and into the UK, and it's worked — group RoTE has gone from about 9% in 2023 to 14.8% in the first half of 2026, against a target of 12%. I want to join a firm mid-turnaround rather than one that's finished, because that's where you learn how decisions actually get made."

TWO THINGS TO GET RIGHT, AND ONE TO AVOID

Get right: Barclays files a **20-F**, not a 10-K. And its financial year is the calendar year, so "FY2025" means the twelve months to 31 December 2025.

Avoid: claiming Barclays is a "top three global investment bank". It is not, and everyone in the room knows it. Say it is the only UK-headquartered bulge bracket, and that it is top-tier in specific sectors — financial institutions, power, leveraged finance and DCM. That is both true and more impressive, because it shows you know how league tables work.

PART FOURTEEN

Sources and method

Every number in this report is traceable. Where sources conflict, the primary filing wins.

How this was put together

Primary financial data — the FY2025 divisional table, the H1 2026 divisional table and the Investment Bank sub-line breakdowns — comes from Barclays PLC's own Results Announcements as filed with the SEC on Form 6-K and published via RNS. Those figures cross-foot: the divisional income lines sum to the £29,140m Group total for FY2025 and to £16,501m for H1 2026, and the divisional profits reconcile to Group profit before tax once the Head Office loss is deducted. Where a secondary source disagreed with a filing, the filing was used.

Strategy, targets and management commentary come from the February 2024 Investor Update, the FY2025 and Q2 2026 results materials, and the Q2 2026 earnings call.

Transaction detail comes from Barclays and counterparty press releases and contemporaneous trade-press reporting, cross-checked for price and date.

Opinion and sentiment is clearly separated from fact throughout. Two limitations are worth stating plainly: **Reddit could not be accessed** — the site blocks automated retrieval — so no Reddit opinion appears here despite being requested; and Wall Street Oasis and Glassdoor material is anonymous and self-selected, so it is reported as texture, not evidence. Some Barclays-hosted PDFs also returned access errors, so the equivalent figures were taken from the SEC-filed versions of the same documents.

Sources

Barclays primary filings and materials

- Barclays PLC 2025 Results Announcement (RNS, via Investegate) — FY2025 divisional tables
- Barclays PLC Form 6-K, H1 2026 results (SEC, filed July 2026) — H1 2026 divisional tables
- Barclays PLC Form 6-K, Q1 2026 results (SEC, filed 28 April 2026) — Q1 metrics, motor finance provision, American Airlines and Best Egg detail
- Barclays PLC Annual Report 2025; Barclays PLC Form 20-F FY2025
- Barclays Investor Update, 20 February 2024 — "Simpler, Better, More Balanced"
- Barclays Q2 2026 Results Presentation, Fixed Income Presentation and Management Speech, 28 July 2026
- Barclays Private Bank & Wealth Management Deep Dive, 10 December 2024
- Barclays US Consumer Bank Investor Update, 20 February 2024
- Barclays press releases: Tesco completion (Nov 2024); Best Egg acquisition (Oct 2025) and completion (May 2026); Kensington acquisition (June 2022)
- Barclays Group Structure and Ring Fencing Explained, home.barclays
- Barclays archive: Lombard Street, Quakers, Barclaycard, BZW

Earnings calls and analyst commentary

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- Barclays Q4/FY2025 earnings call transcript — Investing.com
- "Barclays H1 2026 slides: RoTE hits 16.1% as income guidance rises" — Investing.com
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- Barclays consensus estimates and price targets — Investing.com UK; TipRanks

Press and market reporting

- Financial Times reporting on Barclays investment bank leadership and MD attrition, 2026
- Bloomberg, "Barclays Taps Khan, BofA's Joo as New Investment Bank Heads", 17 August 2026
- Bloomberg, "Barclays Payout Plans Raise Prospect of M&A as Profit Beats", 10 February 2026
- City AM, on UK bank share performance in 2025
- RTÉ, "Barclays' 2025 profit up 12%, raises performance targets", 10 February 2026
- Reuters / Business Standard on the Absa sell-down; Bloomberg on the Lehman purchase
- SEC press releases 2008-206 and 2008-215 on the Lehman transaction
- Banking Dive, FinTech Futures, PR Newswire — Best Egg

- Mortgage Introducer, Financial Reporter, Blackstone press release — Kensington
- Retail Banker International, City AM, Insider Media — Tesco Bank
- Private Banker International / Yahoo Finance — H1 2026 financial services M&A adviser rankings
- A&O Shearman — Persistent Systems / Nagarro €1.4bn financing

Peers, regulation and context

- HSBC Holdings plc Annual Results 2025, 25 February 2026
- NatWest Group plc Annual Results 2025, 13 February 2026
- Standard Chartered PLC Full Year 2025 results
- Lloyds Banking Group FY2025 results reporting

- JPMorgan Chase 4Q25 earnings release; Morgan Stanley Form 8-K 4Q25; Goldman Sachs 2025 results reporting
- FCA Policy Statement PS26/3, Motor Finance Consumer Redress Scheme, March 2026; FCA confirmation statement, 30 March 2026
- Bank of England, list of ring-fenced bodies; Pinsent Masons on Barclays' ring-fencing approval

Opinion, sentiment and careers (treat as indicative only)

- Wall Street Oasis forum threads on Barclays culture, groups, comp and exits
- Glassdoor, Indeed and Breakroom employer reviews
- Barclays Careers — graduate programmes and early careers pages; GraduatesFirst; Bright Network

Compiled 23 August 2026 for the Barclays Insight Day × SEO London, 14 September 2026. Financial figures are as reported by the companies concerned and are not adjusted for comparability across accounting standards or currencies. Nothing in this document is investment advice. Forum and employer-review material is anonymous, self-selected and unverified.